

Form 1099-R Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, etc. — 2025

OMB No. 1545-0119 Copy B — Report this income on your federal tax return.

PAYER: name, address Meridian Trust Retirement Services 2200 Centerpointe Pkwy Wilmington, DE 19808	PAYER'S TIN 51-0387219
RECIPIENT Earl R. Castellano 418 Willow Bend Road Scranton, PA 18505	RECIPIENT'S TIN XXX-XX-9032
1 Gross distribution 24,000.00	2a Taxable amount 24,000.00
2b Taxable amount not determined / Total distribution Total distribution: [] Not determined: []	3 Capital gain (in box 2a) 0.00
4 Federal income tax withheld 2,400.00	5 Employee contributions / Roth 0.00
7 Distribution code(s) 1	IRA / SEP / SIMPLE X
9b Total employee contributions 0.00	Account number MTR-7741-0099
14 State tax withheld 0.00	15 State / Payer's state no. PA / 46-2210077
16 State distribution 24,000.00	

Form 1099-R Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, etc. — 2025

OMB No. 1545-0119 Copy C — For Recipient's Records

PAYER: name, address Meridian Trust Retirement Services 2200 Centerpointe Pkwy Wilmington, DE 19808	PAYER'S TIN 51-0387219
RECIPIENT Earl R. Castellano 418 Willow Bend Road Scranton, PA 18505	RECIPIENT'S TIN XXX-XX-9032
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16 State distribution 24,000.00	

Form 1099-R Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, etc. — 2025

OMB No. 1545-0119 Copy 2 — File with state, city, or local return

PAYER: name, address Meridian Trust Retirement Services 2200 Centerpointe Pkwy Wilmington, DE 19808	PAYER'S TIN 51-0387219
RECIPIENT Earl R. Castellano 418 Willow Bend Road Scranton, PA 18505	RECIPIENT'S TIN XXX-XX-9032
1 Gross distribution 24,000.00	2a Taxable amount 24,000.00
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4 Federal income tax withheld 2,400.00	5 Employee contributions / Roth 0.00
7 Distribution code(s) 1	IRA / SEP / SIMPLE X
9b Total employee contributions 0.00	Account number MTR-7741-0099
14 State tax withheld 0.00	15 State / Payer's state no. PA / 46-2210077
16 State distribution 24,000.00	

Instructions for Recipient

Generally, distributions from pensions, annuities, profit-sharing and retirement plans (including section 457 state and local government plans), IRAs, insurance contracts, etc., are reported to recipients on Form 1099-R.

Qualified plans and section 403(b) plans. If your annuity starting date is after 1997, you must use the simplified method to figure your taxable amount if your payer did not show the taxable amount in box 2a.

IRAs. For distributions from a traditional individual retirement arrangement (IRA), simplified employee pension (SEP), or savings incentive match plan for employees (SIMPLE), the IRA/SEP/SIMPLE box is checked. If you made nondeductible contributions to these plans, see Form 8606.

Box 1. Shows the total amount you received this year. The amount may have been a direct rollover, a transfer or conversion to a Roth IRA, a recharacterized IRA contribution; or you may have received it as periodic payments, as nonperiodic payments, or as a total distribution. Report the amount on Form 1040 on the line for 'IRA distributions' or 'Pensions and annuities.'

Box 2a. This part of the distribution is generally taxable. If there is no entry in this box, the payer may not have had all the facts needed to figure the taxable amount.

Box 4. Shows federal income tax withheld. Include this amount on your income tax return as tax withheld, and if box 4 shows an amount (other than zero), attach Copy B to your return.

Box 7. The following codes identify the distribution you received. 1 — Early distribution, no known exception (in most cases, under age 59½). This code indicates the payer does not know whether an exception to the 10% additional tax applies; you may still qualify for an exception and report it on Form 5329.

Distribution Codes — Reference

Code	Meaning
1	Early distribution, no known exception (under 59½)
2	Early distribution, exception applies
3	Disability
4	Death
7	Normal distribution
G	Direct rollover and rollover contribution
L	Loan treated as a deemed distribution

Important note regarding the 10% additional tax. Box 7 shows code 1 because the custodian has no record of an applicable exception. This does NOT mean the 10% additional tax necessarily applies to the full amount. Exceptions are claimed by the taxpayer on Form 5329, Part I. Common exceptions include distributions for unreimbursed medical expenses exceeding 7.5% of adjusted gross income (exception number 05), qualified higher-education expenses (08), and total and permanent disability (03). Consult a tax professional.

Distribution Confirmation

Dear Earl R. Castellano:

This letter confirms the distribution processed from your Meridian Trust Traditional IRA (account ending 0099) during the 2025 tax year. A gross amount of \$24,000.00 was distributed at your request. Per your withholding election, \$2,400.00 (10%) was withheld for federal income tax and remitted to the IRS. The net amount of \$21,600.00 was transmitted to your linked bank account.

Distribution detail:

Item	Amount
Gross distribution requested	24,000.00
Federal income tax withheld (10%)	2,400.00
State income tax withheld	0.00
Net amount distributed	21,600.00

Because you were under age 59½ at the time of distribution, the taxable portion may be subject to a 10% additional tax unless an exception applies. We do not provide tax advice; please retain this confirmation with your records and consult IRS Form 5329 and its instructions.

Federal Withholding Election & Tax Disclosures

Withholding notice. Distributions from your IRA are subject to federal income tax withholding unless you elect not to have withholding apply. You elected the default 10% withholding rate on the distribution reported above. You may change your withholding election for future distributions at any time.

Even if you elect withholding, you are responsible for the full payment of federal income tax, any state and local taxes, and any additional tax (such as the 10% additional tax on early distributions) that may be due. You may be responsible for estimated tax payments and underpayment penalties if your withholding and estimated payments are insufficient.

State withholding. Pennsylvania does not require withholding on this distribution; \$0.00 was withheld for state purposes. Pennsylvania generally does not tax distributions from retirement plans for taxpayers who have reached the plan's normal retirement age; however, early distributions may be taxable for Pennsylvania purposes only to the extent they exceed previously taxed contributions. Consult a Pennsylvania tax professional.

Recordkeeping. Keep this statement and Copy B of Form 1099-R with your tax records. If you rolled over any portion of this distribution within 60 days, report the rollover on your federal return; the custodian has reported the gross amount as distributed.

Recipient Frequently Asked Questions

When will I receive my Form 1099-R? Form 1099-R is mailed by January 31 following the tax year. If you received more than one type of distribution, you may receive more than one Form 1099-R.

What if I rolled the money over? If you completed an eligible rollover within 60 days, the distribution may not be taxable even though it is reported in box 1. Report the rollover on your federal return as instructed in the Form 1040 instructions.

Why is box 7 coded 1? Code 1 means the custodian has no record that an exception to the 10% additional tax applies, generally because you were under age 59½. You may still qualify for an exception based on facts the custodian does not have (for example, unreimbursed medical expenses). Exceptions are claimed by you on Form 5329.

What is the 10% additional tax? In addition to ordinary income tax, an additional 10% tax generally applies to the taxable part of an early distribution unless an exception applies. The additional tax is figured on Form 5329, Part I, and carried to Schedule 2.

Do I need to attach this form? Attach Copy B to your federal return only if box 4 (federal income tax withheld) shows an amount.

Important Tax Reminders

Estimated taxes. Withholding on this distribution may not cover the full tax due, including any additional tax. You may owe an underpayment penalty if your total withholding and estimated payments are too low. Review your situation and consider whether an estimated payment is needed.

State taxation. Pennsylvania's treatment of IRA distributions differs from federal treatment. Generally, Pennsylvania does not tax distributions made after reaching retirement age, but the rules for early distributions are different. Consult a Pennsylvania tax professional.

Recordkeeping. Retain this Form 1099-R, your distribution confirmation, and documentation supporting any exception you claim (such as medical bills) for at least seven years.

This document does not constitute tax advice. Meridian Trust Retirement Services does not prepare tax returns or determine the taxability of distributions for individual recipients.

Distribution and Withholding Detail

Five-Year Distribution History

Tax year	Gross distribution	Federal w/h	State w/h	Net
2021	0.00	0.00	0.00	0.00
2022	0.00	0.00	0.00	0.00
2023	0.00	0.00	0.00	0.00
2024	0.00	0.00	0.00	0.00
2025	24,000.00	2,400.00	0.00	21,600.00

Federal Withholding Remittance Schedule — 2025

Date withheld	Description	Amount remitted
2025-03-27	Withholding on distribution (10%)	2,400.00
Total remitted to IRS for 2025		2,400.00

Account Balances

Item	Amount
Beginning-of-year account value (01/01/2025)	138,400.00
Gross distribution during 2025	(24,000.00)
Net investment earnings during 2025	14,900.00
Year-end account value (12/31/2025)	129,300.00